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veny, but the most high-profile was the UK-based Liberty House Group, owned by the Gupta family. In 2018, Liberty was declared the successful bidder. However, the Guptas failed to make payments within the stipulated time, citing various reasons—including issues with due diligence, pending litigation, and delays in necessary approvals. Their non-compliance led to the plan's collapse, pushing the lenders to seek termination of the resolution and approach the National Company Law Tribunal for a fresh round.

The second round of insolvency began in 2019–20. This time, the winning bid came from Deccan

Value Investors, a U.S.-based fund, which agreed to acquire Amtek Auto and inject capital to revive operations. The NCLT approved the resolution plan in July 2020. However, the process again faced delays, this time due to pandemic-related disruptions and valuation challenges. Eventually, the transfer of control took place, but with limited revival prospects, given the deep operational and financial damage already done.

The Amtek Auto case exposed significant gaps in India's early insolvency processes — from inadequate bidder scrutiny to delays in execution. The failure of the Lib-

THE STORY SO FAR

▶ Amtek Auto operated in multiple countries. But aggressive expansion through acquisitions—both domestic and overseas—led to mounting debt and over-leveraging

▶ Its resolution faced multiple hurdles—bidders backed out, valuations dropped sharply, and several legal disputes delayed recovery

▶ A PIL was filed in the Supreme Court alleging large-scale diversion of loans, creation of shell companies, siphoning of funds, and collusion with banks/officers

▶ The PIL referred to forensic audit reports (for eg., by Ernst & Young) which indicated that the actual amount siphoned off could be above ₹20,000 crore

▶ The court, in February 2024, directed the ED to investigate and observed prima-facie that large-scale money laundering was possible, given the web of 500+ companies, dummy directors, diversion of loan amounts into land/real estate etc.